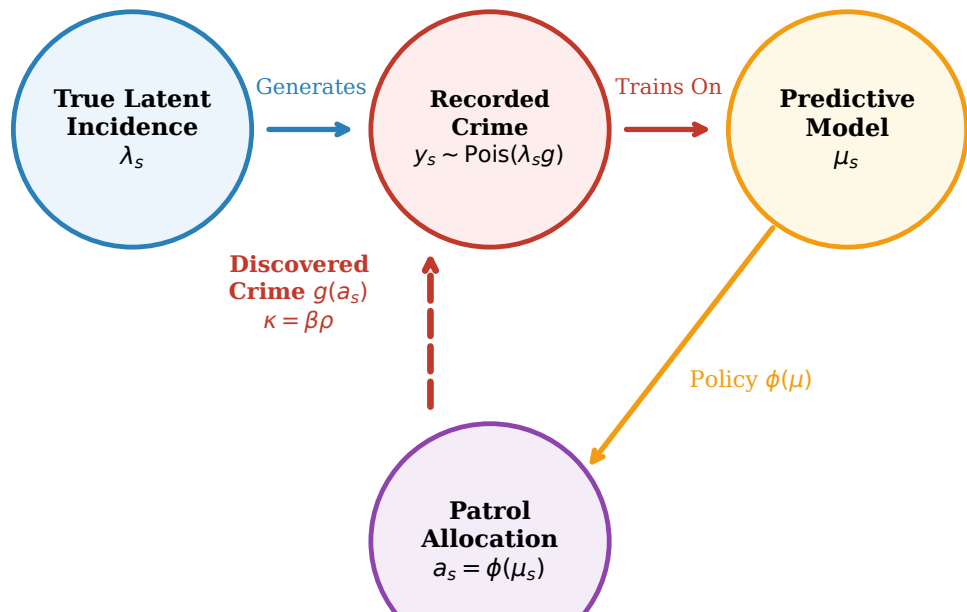
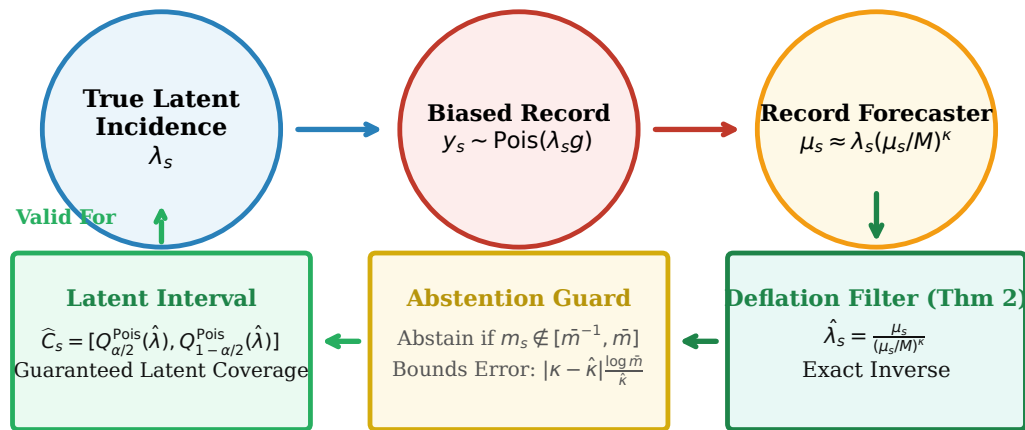


**(a) Uncorrected Observation-Biased Loop
(Runaway Disparity Amplification)**



Theorem 1: Recorded Disparity $\Delta_y = (\Delta_\lambda)^{\frac{1}{1-\kappa}}$ (Blowup at $\kappa = 1$)
Conformal coverage on latent: Collapses to 16.2% (Confidently Wrong!)

**(b) CIVIC-SAFE Deflation & Latent Conformal
(Restoring Latent Reality & Bounding Bias)**



Theorem 2: Exact recovery $\hat{\lambda}_s = \lambda_s$ identically.
Latent Coverage restored to 93.0% (on retained 15% cells at $\kappa = 0.85$)